Type MS · Reasons why businesses fail

Answer 1 of 5 · Question 2 part c · 3 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for *NEXT* promoting its own employees in the context of the business. • If *NEXT* promotes its own employees, they are experts in the home interiors *NEXT* sell **(1)** • By promoting their own employees *NEXT* does not have to spend time and money interviewing and training new staff to sell its new dresses **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *NEXT* complies with health and safety laws. Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason for *NEXT* complying with health and safety laws in the context of the business. • *NEXT* will want to protect employees/customers whilst they are in its clothing stores **(1)** • By complying it is not breaking any laws and employees feel safe whilst working in its garment factories **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Reasons why businesses fail

Answer 1 of 5 · Question 2 part c · 3 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** reason why businesses fail. Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why businesses fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses fail because of cash flow problems **(1)** this may be that the business has a greater outflow than inflow **(1)** leading to potential problems paying employees/suppliers **(1)** NB Answers that list three reasons why a business fails with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** reason why a business would use batch production. Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason for using batch production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • A business with a wide range of products may need to produce them in smaller numbers **(1).** They can change the product easily, for example colour/size **(1)** without incurring too much cost **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Reasons why businesses fail

Answer 1 of 5 · Question 2 part c · 3 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** reason why employees keep their curriculum vitae (CV) up to date. Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of a reason why employees keep their curriculum vitae (CV) up to date, plus 2 further marks for explaining why having an up to date curriculum vitae is beneficial to an employee, for a maximum of 3 marks. • It means that an employee can apply for a job straight away **(1)** without having to spend time updating a CV **(1)** which avoids missing out on job opportunities **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Reasons why businesses fail

Answer 1 of 5 · Question 2 part c · 3 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	**Option 1:** targeted advertising online **Option 2:** e-newsletters. **(f)** Justify which **one** of these two options *NEXT* should choose. Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using targeted online advertising *NEXT* are only sending information to those customers who have purchased furniture or have signed up to its website • **Option 2** – E-newsletters are a cost effective way of sending information to customers, if they are interested in the wedding list service, it could include text, illustration and special offers **AO3** • **Option 1** – *NEXT* could test whether the people it is targeting are buying the furniture being advertised • **Option 2** – The only expense *NEXT* has is the setting up of the newsletter, and then this can be distributed with no further expense to all its customers **AO4** • **Option 1** – However, targeted online advertising does not reach all the customers of *NEXT* who might wish to purchase furniture • **Option 2** – However, *NEXT* cannot be certain that all its customers who want to receive the wedding list service will read the newsletter as there is no guarantee or way of checking that they have seen it	**(9)**

Type MS · Reasons why businesses fail

Answer 1 of 5 · Question 2 part c · 3 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7-9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Reasons why businesses fail

Answer 1 of 5 · Question 2 part c · 3 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Define the term **economies of scale**. Answer	Mark

Type MS · Reasons why businesses fail

Answer 2 of 5 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **legislation.** • A law put in place to protect individuals or businesses **(1)**	**(1)**

Question Number	Outline **one** reason why *Saha* may dismiss an employee. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Saha* may dismiss an employee, plus 1 mark for development in the context of the business. • *Saha* could dismiss an employee who continually arrives late on the production line **(1)** which causes delays in delivery of robots to restaurants **(1)** **NB** Do not accept a reason that is not in the context of Saha. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the cash outflow. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** **18000 (2)** If correct answer not given award marks for workings: 24 000 + 5 000 = 29 000 **(1)** **Or** 29 000 – 11 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Reasons why businesses fail

Answer 2 of 5 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Analyse **two** possible reasons that may lead to business failure for *Saha.* **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There are many new competitors, such as *NIO,* entering the robot market who are challenging *Saha* for market share • As *Saha* has ambitious plans to expand to other continents it may encounter cash flow problems due to the increased amounts of outflows required to pay for advertising/materials **AO3** • This may lead to *Saha* losing customers because it is not being competitive if other businesses such as *NIO* or *Zoox* develop robots that are technologically superior or less expensive • This could lead to a shortage of cash/ liquidity problems for *Saha* leading to its insolvency	**(6)**

Type MS · Reasons why businesses fail

Answer 2 of 5 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Reasons why businesses fail

Answer 2 of 5 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	*Saha* is planning to develop a new range of robots aimed at helping people in the home with cleaning, shopping, security and entertainment. It is considering two pricing methods for these robots: **Option 1:** price skimming **Option 2:** cost plus pricing. Justify which **one** of these two options *Saha* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using a price skimming strategy enables *Saha* to charge a high price for its new robots designed for the home • **Option 2** – Cost plus pricing ensures all costs involved in the manufacture of robots such as metal and assembly costs are considered when setting a price **AO3** • **Option 1** – Charging a high price will allow *Saha* to recover its research and development costs which can be reinvested into its business for further expansion/new designs • **Option 2** – assuming the robots are sold, *Saha* will be guaranteed to make a profit due to the mark-up it adds to the cost of producing the robots **AO4** • **Option 1** – However, if the price is considered too high for its target audience it may lose sales to competitors such as *Zoox* or *Vention* • **Option 2** – However, the price charged does not take into consideration the price the customer is willing to pay, which may potentially limit revenue/profit	**(9)**

Type MS · Reasons why businesses fail

Answer 2 of 5 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Reasons why businesses fail

Answer 2 of 5 · Question 3 part d · 6 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**

Type MS · Reasons why businesses fail

Answer 3 of 5 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**AO2 = 1 mark** Award 1 mark for a valid reason of business failure in the context of the business. • Ollie may not have enough experience of other musical instruments so costs could increase as he may have to employ a specialist musician (1). • An increase in the economy could lead to an increase in the demand of leisure activities and Ollie may not be able to cope with the demand (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 = 1 mark** Award 1 mark for a valid benefit of employing casual staff in the context of the business. • If *TADS* is successful it can employ music teachers for instruments other than drums when needed (1). • When *TADS* has quieter periods of business it can reduce the hours of the specialist teachers (1).	**(1)**

Type MS · Reasons why businesses fail

Answer 3 of 5 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 = 3 marks** Award 1 mark for identification of a purpose of market research, plus 2 further marks for explaining this purpose for a business, for a maximum of 3 marks. • A purpose of market research can be to identify your customers' needs (1) this will help you to design your products to meet those needs (1) and allow the business to be more successful (1). NB Answers that list three purposes with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**
Question Number	Answer	Mark
2 (d)	**AO1 = 3 marks** Award 1 mark for identification of a measure of business success, plus 2 further marks for explaining this measure for a business, for a maximum of 3 marks. • A measure can be through customer satisfaction (1). If customers are happy with the products/services they are likely to revisit the business (1) and this could lead to them recommending the business to friends and family (1). NB Answers that list three measures with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Reasons why businesses fail

Answer 3 of 5 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**AO1 = 3 marks** Award 1 mark for the identification of an impact of an increase in interest rates, plus 2 further marks for explaining that impact, for a maximum of 3 marks. • An increase in interest rates could lead to higher costs for a business (1). This can lead to a reduction in profits because each month the business must pay back part of the debt (1) and the interest charged on the loan will be higher (1). Answers that list three impacts of an increase in interest rates with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Reasons why businesses fail

Answer 3 of 5 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using commission *TADS* would encourage its teachers to find new pupils who want to learn music. • Option 2 – Increasing the hourly rate would encourage music teachers to work for longer hours. **AO3** • Option 1 – By recruiting more pupils teachers will be paid a commission on top of their hourly rate for teaching. • Option 2 – Teachers are more likely to remain with *TADS* as they believe they are being paid well for the work they do. **AO4** • Option 1 – However, the commission is a one-off payment and once paid the teachers would only receive their hourly rate, which may not be sufficient to continue to be employed by *TADS*. • Option 2 – However, if *TADS* cannot increase the number of pupils it may not be able to retain all of the teachers it currently employs.	**(9)**

Type MS · Reasons why businesses fail

Answer 3 of 5 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Reasons why businesses fail

Answer 3 of 5 · Question 2 part a · 1 mark

2020 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Reasons why businesses fail

Answer 4 of 5 · Question 1 part f · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – The lowest amount a business can legally pay its employees** **A –** Fixed amount per year and paid monthly – this is not the correct answer as it is a salary **C** – Payment made to an employee for working additional hours – this is not the correct answer as it is overtime **D** – Payment made to an employee for reaching a target – this is not the correct answer as it is a bonus	**(1)**

Question Number	Which **one** of the following describes the cash cow category in the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Low market growth, high market share** **A –** High market growth, high market share – this is not correct as it is the star category **B –** High market growth, low market share - this is not correct as it is the question mark category **D –** Low market growth, low market share - this is not correct as it is the dog category	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reasons why businesses fail

Answer 4 of 5 · Question 1 part f · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following would give a business a negative cash flow? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Cash outflow is greater than cash inflow** **A** – Cash inflow is greater than cash outflow – this is not correct as it would give the business positive cash flow **B** – Costs are greater than profits – this is not correct as it would give the business a loss **C** – Profits are greater than costs – this is not correct as it would give the business profit	**(1)**

Question Number	Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Job description** **B –** Person specification - this is not correct as it is a document outlining person attributes **C –** Application form – this is not correct as it is a form potential employees fill in **D –** Curriculum vitae – this is not correct as it is a document outlining the skills, experiences and qualifications of the potential employee	**(1)**

Question Number	Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €317.40** **A –** €79.35 – this is not the correct answer as it is the cost of 150 metres of wrapping paper for a week **B –** €276.00 – this is not the correct answer as it is 4 weeks of wrapping paper in pounds **D –** €396.75 – this is not the correct answer as it is 5 weeks of wrapping paper in euros	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reasons why businesses fail

Answer 4 of 5 · Question 1 part f · 3 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following is the markup for a selection of traditional flowers? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A – 54.76%** **B –** 64.62% – this is not the correct answer as it is 42/65 x100 **C –** 182.61% – this is not the correct answer as it is 42/23 x100 **D –** 282.61% – this is not the correct answer as it is 65/23 x100	**(1)**

Question Number	Define the term **economies of scale.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale.** • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder**. • Individuals or groups with an interest in the operation of a business **(1)**	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reasons why businesses fail

Answer 4 of 5 · Question 1 part f · 3 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part f in this mark scheme extract

Question Number	State **one** benefit to *Aude Rose* of using just-in-time (JIT) production. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Aude Rose* of using just-in-time production in the context of the business. • *Aude Rose* will have less waste as the flowers will be fresh when delivered to the Paris shop **(1)** **NB** Do not accept a benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate how many bunches of flowers will *Aude Rose* have to sell to break-even. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 50 000/(50 – 10) **(1)** = 1 250 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reasons why businesses fail

Answer 4 of 5 · Question 1 part f · 3 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why a business might fail. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why a business might fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • A lack of finance **(1)** from poor cashflow can lead to its failure **(1)** leading to an issue of paying for inventory to sell on to customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reasons why businesses fail

Answer 4 of 5 · Question 1 part f · 3 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part f in this mark scheme extract

Question Number	Analyse the importance to Aude Anglaret of motivating her employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the florists are motivated, they could produce more bunches of flowers for sale to customers • The florists are more likely to stay in the flower shop if they are paid more **AO3** • Increased productivity could lead to greater outputs and more sales • Employees who stay will reduce the cost of recruitment and training of new employees	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reasons why businesses fail

Answer 4 of 5 · Question 1 part f · 3 marks

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part f in this mark scheme extract

Question Number	State **one** fringe benefit *Aude Rose* could offer its employees. **Answer**	**Mark**

Type MS · Reasons why businesses fail

Answer 5 of 5 · Question 2 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Rabanne* ensures all its employees have job enrichment opportunities. • The employees making the perfume find their job more interesting **(1)** • Job enrichment gives employees the opportunity to try different types of jobs in the production of aftershaves **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Type MS · Reasons why businesses fail

Answer 5 of 5 · Question 2 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Q. No.	State **one** way *Rabanne* could measure its success as a business. **Answer**	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Rabanne* could measure its success in the context of the business. • *Rabanne* can measure its success by the increase in sales of Invictus **(1)** • *Rabanne* can compare its market share with that of other perfume businesses to see which is the most successful **(1)** **NB** Do not accept a way that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Q. No.	Explain **one** reason why some businesses fail. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why some businesses fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Poor cashflow can lead to failure **(1)** from a lack of finance **(1)** to pay suppliers and other debtors **(1)** • Prices could be too high and therefore not competitive **(1)** which could result in a fall in demand **(1)** leading to a lack of revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Reasons why businesses fail

Answer 5 of 5 · Question 2 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Q. No.	Explain **one** reason why a business would use targeted advertising online to promote itself. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why a business would use targeted advertising online to promote itself, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • The business can send information to customers who have purchased from them before **(1)** and are more likely to purchase again **(1)** which can lead to improved customer loyalty **(1)** • The business could promote to a specific demographic **(1)** using different online activities **(1)** which may lead to increased brand awareness **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why businesses use statements of comprehensive income when making decisions. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one reason why businesses use statements of comprehensive income when making decisions, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A business can see how the business is performing **(1)** and can calculate the profit margin **(1)** along with other calculations if the performance has deteriorated **(1)** • Businesses can use it to compare itself to similar businesses **(1)** which will enable them to judge its performance against competitors **(1)** giving an indication of how well the business is doing **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Reasons why businesses fail

Answer 5 of 5 · Question 2 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Q. No.	**Option 1:** communicate all information through text messaging/email **Option 2:** hold weekly meetings Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Email is a method that is used by everyone and can be sent from one location to another ensuring all employees are kept up to date on the packaging of the new aftershave • **Option 2** – Holding weekly meetings allows people to meet face to face and give their opinion on the new adverts for Lady Million **AO3** • **Option 1** – This would ensure that all *Rabanne* employees would be kept up to date on production changes • **Option 2** – Discussions can take place on any improvements or amendments that need to be made **AO4** • **Option 1** – However, if there is no internet signal then sending messages and receiving them would be difficult • **Option 2** – However, meetings are very time consuming and not everyone can make the meeting because of the distance between departments	**(9)**

Type MS · Reasons why businesses fail

Answer 5 of 5 · Question 2 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Reasons why businesses fail

Answer 5 of 5 · Question 2 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Q. No.	Define the term **just-in-time (JIT).** **Answer**	Mark